

Member ID: _____

Time: _____

Rank: _____



ADVANCED ACCOUNTING (110)

NATIONAL 2022

CONCEPT KNOWLEDGE:

Multiple Choice (25 @ 2 points each) _____ (50 points)

APPLICATION KNOWLEDGE:

Short Answer (24 @ 3 points each) _____ (72 points)

Job 1 - Depreciation _____ (36 points)

Job 2 – Stock Transactions _____ (42 points)

Job 3 – Effects on Statement of Cash Flows _____ (60 points)

TOTAL POINTS _____ ***(260 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice

Select the letter of the answer that *best* answers the question.

1. The method of accounting for uncollectible accounts that most closely follows GAAP's matching expenses with revenue principle is the _____ method.
 - a. direct write-off
 - b. amortization
 - c. adjustment
 - d. allowance
2. What intangible asset is recorded only when a business is acquired by another business?
 - a. Patent
 - b. Copyright
 - c. Goodwill
 - d. Land
3. Depreciation is no longer recorded on an asset when the book value equals _____.
 - a. market value
 - b. replacement cost
 - c. original cost
 - d. salvage value
4. When calculating the number of shares of stock outstanding, how is treasury stock handled?
 - a. It is subtracted from the number of shares issued.
 - b. It is added to the number of shares issued.
 - c. It is ignored completely.
 - d. It is already included in the number of shares issued.
5. An old truck is traded in on a new one, along with a payment of \$17,600. Assuming the book value of the old truck was \$5,250, what is the recorded cost of the new truck?
 - a. \$5,250
 - b. \$12,350
 - c. \$17,600
 - d. \$22,850
6. When a publicly traded company does a stock split, what is the primary reason?
 - a. Decrease the EPS
 - b. Decrease the market price of the stock
 - c. Decrease the number of shares outstanding
 - d. Decrease the par value of the stock

7. If common stock is issued in exchange for equipment, where will the transaction appear on the Statement of Cash Flows?
 - a. Operations section
 - b. Investments section
 - c. Financing section
 - d. It will not appear on the Statement of Cash Flows.
8. Which of the following plant assets generally appreciates in value?
 - a. Land
 - b. Machinery
 - c. Mines
 - d. Building
9. When liquidating a partnership, what is the final transaction?
 - a. Distributing cash to the owners
 - b. Paying off the debts of the business
 - c. Amortizing the partnership
 - d. Selling off the assets
10. What is the reversing entry on an outstanding Notes Payable?
 - a. Debit Interest Expense and credit Interest Payable
 - b. Debit Interest Payable and credit Interest Expense
 - c. Debit Notes Payable and credit Interest Expense
 - d. Debit Interest Expense and credit Notes Payable
11. What is the depreciation rate used on a 6-year asset using the double-declining-balance method?
 - a. 16.67%
 - b. 25.00%
 - c. 33.33%
 - d. 66.67%
12. The bonds of a corporation are rated AAA. What will be true about the interest rate it offers as compared to the bonds of a corporation receiving junk bond status?
 - a. The interest rate will be higher.
 - b. The interest rate will be lower.
 - c. The interest rate will be the same, as all corporate rates equal the prime rate.
 - d. The interest rate will be the same if both companies are part of the S&P 500.
13. What type of account is Allowance for Uncollectible Accounts?
 - a. Expense
 - b. Revenue
 - c. Contra Liability
 - d. Contra Asset

14. If a corporation issues bonds with an interest rate of 8% while the market rate is 9%, these bonds will sell at _____.
 - a. face value
 - b. maturity value
 - c. a premium
 - d. a discount
15. Which financial statement shows the financial strength of a company on a specific date?
 - a. Income Statement
 - b. Statement of Stockholders' Equity
 - c. Balance Sheet
 - d. Statement of Cash Flows
16. Where would the interest associated with a notes payable appear on the Income Statement?
 - a. Operating Revenue section
 - b. Operating Expense section
 - c. Other Revenue section
 - d. Other Expense section
17. What type of account is Prepaid Advertising?
 - a. Asset
 - b. Liability
 - c. Expense
 - d. Revenue
18. What type of account is Unearned Fees?
 - a. Asset
 - b. Liability
 - c. Expense
 - d. Revenue
19. Which of the following is a contra account?
 - a. Treasury Stock
 - b. Prepaid Rent
 - c. Dividends Payable
 - d. Federal Income Tax
20. What financial statement(s) does Capital Stock appear on?
 - a. Balance Sheet
 - b. Statement of Stockholder's Equity
 - c. Both the Balance Sheet and Statement of Stockholders' Equity
 - d. Neither the Balance Sheet, nor the Statement of Stockholders' Equity

21. If EPS are \$10.00 and the market price of a stock is \$100.00 per share, what is the P/E ratio?
 - a. 20 times
 - b. 10 times
 - c. 0.1 times
 - d. 0.01 times
22. If the common dividend per share is \$0.30 and the market price per share is \$10.00, what is the dividend yield?
 - a. 0.03%
 - b. 3.0%
 - c. 30.0%
 - d. 33.3%
23. If average accounts receivable are \$80,000 and net sales are \$200,000, what is the accounts receivable turnover ratio?
 - a. 2.5
 - b. 0.6
 - c. 0.4
 - d. 1.5
24. In which financial statement will depreciation expense appear?
 - a. Balance Sheet
 - b. Income Statement
 - c. Statement of Owner's Equity
 - d. Statement of Stockholders' Equity
25. Which of the following will result in a decrease to cash?
 - a. A decrease in a current liability
 - b. An increase in a current liability
 - c. A decrease in an expense
 - d. An increase in revenue

Short Answer Problems – 3 points each

1. Sophia's Italian Eatery, Inc. began 2022 with 10,000 outstanding shares of \$10 par value common stock, and a Retained Earnings balance of \$87,500. During 2022, Sophia's showed a net income of \$94,300. Sophia's declared a dividend on December 15th, 2022 of \$2.00 per share, to be paid on January 15th, 2023.

- a. What was the Total Stockholders' Equity balance on the 2021 Balance Sheet? _____
- b. How much in total dividends will Sophia's stockholders receive? _____
- c. What is the Retained Earnings balance on the 2022 Balance Sheet? _____
- d. What is the Total Stockholders' Equity balance on the 2022 Balance Sheet? _____

2. Rent and Utilities Expenses for Simpson Shoes are allocated to departments based upon the square footage. The Dallas store shows the following for each department: Women's – 2,100 square feet; Men's – 1,500 square feet; Children's – 1,000 square feet; Accessories – 400 square feet. Expenses for 2022 equal \$40,000 for Rent and \$24,000 for Utilities. Allocate each expense.

	Rent Expense	Utilities Expense
Women's Department	_____	_____
Men's Department	_____	_____
Children's Department	_____	_____
Accessories Department	_____	_____

3. At the beginning of 2022, Arenado Manufacturing was granted approval for patent #4356, and purchased patent #5890 from its original holder. Patent #4356 cost the company \$2,000 in application fees, along with \$14,000 in attorney fees. It has an expected useful life of 8 years, and a legal life of 10 years. Patent #5890 cost the company \$4,000 to buy. Its useful life is expected to be 6 years, while the legal life has 5 years remaining.

- a. What is the recorded cost of Patent #4356? _____
- b. What is the 2022 amortization expense for Patent #4356? _____
- c. What is the recorded cost of Patent #5890? _____
- d. What is the 2022 amortization expense for Patent #5890? _____

4. On July 1, 2022, DSX Incorporated sold 10, five-year \$10,000, 6% coupon bonds that pay interest semi-annually to investors for a total of \$98,000.

- a. What accounts are debited on July 1? _____
- b. What are the respective amounts debited? _____
- c. What account is credited on July 1? _____
- d. What is the credit amount? _____
- e. Were the bonds sold at a premium or a discount? _____
- f. What is the current yield of the bonds on July 1, 2022? _____

Job 1 – Depreciation - 36 Points

Sanchez Mining, Inc. purchased two assets at the beginning of 2020. The 1st asset is a coal mine at a cost of \$55 million. The mine is expected to produce 1,000,000 tons of coal over a span of 10 years. At that time, Sanchez is expected to sell the property for an estimated value of \$5 million. Actual coal production is shown to be: 2020 – 92,000 tons; 2021 – 114,000 tons; 2022 – 120,000 tons.

Asset #2 is a dump truck used to transport the coal at a cost of \$125,000. The truck is estimated to be used for 8 years and 100,000 miles, at which time the company expects to sell it for \$20,000. The actual mileage driven is shown to be: 2020 – 14,000 miles; 2021 – 23,500 miles; 2022 – 18,700 miles.

Show the 1st three years' depreciation for each of the two assets. Use the depletion method to depreciate the coal mine. Use the units of production method to depreciate the dump truck.

	Coal Mine			Dump Truck		
	Annual Depletion	Accumulated Depletion	Ending Book Value	Annual Depreciation	Accumulated Depreciation	Ending Book Value
2020						
2021						
2022						

Job 2 – Stock Transactions - 42 Points

Record the following journal entries for 2022 for Landscape Formations Inc. in the General Journal on the next page. **Do not skip any lines.** Use the following accounts:

Cash	Paid-in Capital in Excess – Preferred
Equipment	Treasury Stock
Dividends Payable	Paid-in Capital from Treasury Stock
Capital Stock – Common	Retained Earnings
Paid-in Capital in Excess – Common	Dividends – Common
Capital Stock – Preferred	Dividends – Preferred

The common stock issued has a par value of \$20. The preferred stock issued is 8% preferred with a par value of \$40.00.

January 4 - Received cash from Jay Glaser for 100 shares of common stock at \$23.10 per share.

January 18 - Received cash from Tanisha Salor for 80 shares of preferred stock at \$40.00 per share.

February 20 - Received equipment at an agreed upon value of \$3,000 from Sasha Doster in exchange for 120 shares of common stock.

March 31 - Paid cash to Tera Hastings for 300 shares of her Landscape Formations Inc. common stock at \$24.75 per share.

June 15 - The Board of Directors of Landscape Formations Inc. declared an annual dividend of \$50,000. Preferred stock issued totals 7,500 shares. Common stock issued totals 200,000 shares. Date of payment is July 15.

June 24 - Received cash from Jalen Roberts for 100 shares of common stock at \$19.25.

July 3 - Received cash from sale of Treasury Stock purchased on March 31, \$8,000.

July 15 - Paid cash for annual dividend declared June 15.

General Journal

[illegible]

Job 3 – Effects on the Statement of Cash Flows – 60 Points

The following transactions occurred during 2022 for Logan Corporation. For each transaction, determine the effect on cash flows (increase, decrease, or no effect), and the amount (enter 0 if no effect). Finally, show the section affected in the Statement of Cash Flows (Operating, Investing, Financing, or None).

*Note - The direct method is used for the Statement of Cash Flows.

January 2 – Purchased equipment for \$15,000, with a salvage value of \$2,000 and a 4-year useful life. Logan uses the straight-line method of depreciation.

February 24 – Sold merchandise for cash to Phi Ngyuen worth \$1,600, plus 8% sales tax.

March 15 – Bought supplies worth \$800, of which \$300 were still unused as of December 31.

March 31 – Paid \$20,000 to the government for estimated income tax.

April 1 – Received notice of bankruptcy from Mark Ito. Mark's accounts receivable balance equals \$450.

May 30 – Sold equipment for \$8,500; original cost \$22,000, accumulated depreciation to date of \$14,000.

June 30 – Sold 50 \$5,000, 8% bonds, with interest paid semi-annually.

July 7 – Sent a check to Jensen Electric for utilities, \$800.

July 18 – Sold merchandise on account to Raymond Alfonso, \$3,400, terms 2/10, n/30.

July 26 – Received cash on account from Raymond Alfonso from July 18 sale.

August 1 – Issued 20,000 shares of \$20 par value common stock for \$22 per share.

August 11 – Purchased merchandise on account from Barbary Inc., list price \$5,600, less 40% trade discount, terms 2/10, n/30.

September 8 – Paid cash to Barbary Inc from August 11th purchase.

September 25 – Signed a promissory note from 1st National Bank for \$3,500; terms 120 days, 5.5%

October 1 – Received cash from Emma Whitmore, \$600, for three months rental of storage.

October 15 – Declared a dividend of \$1.50 per share of common stock. Logan Corp. has 500,000 shares of common stock outstanding.

November 15 – Paid dividend from October 15th declaration.

November 30 – Bought back 10,000 shares of its own \$20 par value common stock from Catalina Diaz for \$22.00 per share.

December 20 – Sold vehicle to Sung Kanun for \$6,500. The vehicle's original cost was \$23,000. Accumulated depreciation to date equals \$15,000, which includes \$2,000 depreciation that needs to be recorded at the time of the sell.

December 31 – Paid interest on bonds sold on June 30.

Transaction	Effect on Cash Flow	Amount	Section of Cash Flows Statement
January 2			
February 24			
March 15			
March 31			
April 1			
May 30			
June 30			
July 7			
July 18			
July 26			
August 1			
August 11			
September 8			
September 25			
October 1			
October 15			
November 15			
November 30			
December 20			
December 31			